

2:00 PM

LINE 6

24-CIV-02224

CAROLYN DIXON, ET AL. VS. CYNDA WATKINS, ET AL.

CAROLYN DIXON
CYNDA WATKINS

J EDWARD KERLEY
KIRILL DEVYATOV

PLAINTIFF'S MOTION FOR BIFURCATION OF TRIAL ON PLAINTIFFS' EIGHTH CAUSE OF ACTION FOR DECLARATORY RELIEF

TENTATIVE RULING:

Plaintiffs Carolyn Dixon's and David Bassi's motion for an order bifurcating trial to decide the eighth cause of action in plaintiff's First Amended Complaint ("FAC") filed May 22, 2024, is DENIED.

Background

Plaintiffs' home was burned in a fire in late 2020. Until late spring of 2024, plaintiffs' insurer Defendant State Farm was investigating, making adjustments for and payments on the claim plaintiffs had filed against their insurance policy with defendant. It is undisputed that the policy contains a one-year limitations to sue provision which would be tolled from the date of loss and notification until defendant provided unequivocal written notice it would pay no further benefits under any coverage provided by the policy. The matter has been set for jury trial in August 2027.

The instant motion, similar to plaintiffs' motion for summary adjudication, requests that the Court bifurcate trial for a first phase decision regarding the FAC's eighth cause of action for declaratory relief under Code of Civil Procedure section 598 and enter a ruling as to the FAC's cause of action for declaratory relief because it is an equitable question thus for the bench, not a jury to decide. In so doing the Court would simultaneously sustain or overrule defendants' affirmative defense based on the statute of limitations.

Defendant State Farm opposes, as they did plaintiff's motion for summary adjudication, contending that the question before the Court— whether defendants' January 12, 2023 letter was an unequivocal denial or not based on the meaning of the word "claim" as it is used (and thus ending the tolling period)—is a question of fact that a jury, not judge, should decide under *Stofer v. Shapell Industries, Inc.* (2015) 233 Cal.App.4th 176, 189 and related cases.

Legal Standard

Under Code of Civil Procedure section 1048, subdivision (b), a judge may order a separate trial of any cause of action asserted in a complaint or a cross-complaint, or any separate issue. "A trial court has discretion to determine the order in which claims or issues are bifurcated and determined, and the selection and scheduling of those phased determinations will not be disturbed

absent an abuse of that discretion.” (*Antelope Valley Groundwater Cases* (2020) 59 Cal.App.5th 241, 273.) Similarly, an order to bifurcate under Code of Civil Procedure section 598 may be made “when the convenience of witnesses, the ends of justice or the economy and efficiency of handling the litigation [are] promoted.” (*Id.*) Generally speaking, an order under either statute is appropriate when it promotes “convenience, to avoid prejudice, and to expedite the trial of a case.” (*Cal. Judges Benchbook Civ. Proc. Before Trial* (March 2026 update) § 2.72.) Code of Civil Procedure section 597 provides that “when the answer pleads that the action is barred by the statute of limitations, the court may proceed to the trial of such special defense before the trial of any other issue in the case. ... the objective of the bifurcation of the issues is avoidance of waste of time and money caused by the trial of issues which may be rendered moot.” (*Bedolla v. Logan & Frazer* (1975) 52 Cal.App.3d 118, 135.) Plaintiff brings the instant motion under the authority of all three statutes.

Discussion

Plaintiff’s eighth cause of action in the FAC seeks declaratory relief that the limitations period was equitably tolled from December 14, 2020 until State Farm “provided unequivocal written notice that it would pay no further benefits under any coverage provided by the policy. (FAC, ¶ 174.) The resolution of whether equitable tolling applies is a question for the court to resolve. (*Hopkins v. Kedzierski* (2014) 225 Cal.App.4th 736, 745.) The policy of this state is to try equitable issues first. (*Nationwide Biweekly Administration, Inc. v. Superior Court* (2020) 9 Cal.5th 279, 317.) This rule is not absolute as the Court still maintains discretion regarding the order of the trial. (*Ibid.*)

The equitable tolling issue is whether Defendant State Farm’s January 12, 2023 letter (See Declaration of Kirill M. Devyatov in Opposition to Motion to Bifurcate, Ex. B) was an unequivocal denial that State Farm would pay no more benefits to Plaintiffs which ended the equitable tolling that had started when Plaintiffs suffered the loss and sent their December 14, 2020 letter about the fire.

Plaintiffs’ basically claim that the court can decide this issue as a matter of law based solely on the January 12, 2023 letter by interpreting the case law, non-California authority discussed in Plaintiffs’ motion and their prior motion for summary judgment on the Eighth Cause of Action. They claim that the case can be presented in one-half day or less.

Defendants raises numerous points in opposition, but the main issue for the Court is whether Plaintiffs are correct that the issue can be decided on the January 12, 2023 letter and little else. Defendants correctly point out that this Court has already determined that, under the current evidence, there is a dispute of fact regarding tolling because a reasonable fact finder could determine *either* that the January 12, 2023 letter was an unequivocal denial, or not. On the current record, then, application of tolling and the limitations period, including Plaintiffs’ theory that State Farm somehow waived the right to rely on the limitations period, presents a jury-triable issue impacting defendants’ right to conduct further discovery as to the insureds’ understanding of the limitations period, and to present this defense, and any factual disputes pertaining to the defense, to a jury. The Court agrees.

As the Court previously ruled, “[i]n this case, there is a triable issue as to whether all coverage under the policy and Insureds’ purported singular ‘claim’ was unequivocally denied in writing in the January 12, 2023 letter. The letter refers to a single claim assigned a single claim number, announced State Farm’s intent to close “the matter,” and directed Insureds to the one-year limitations provision. (DMF, no. 38.) The crucial issue is the definition of “claim” and to the Court, that determination needs to be made from the introduction of more than the January 12, 2023 letter, but instead from the entire course of conduct and communications between Plaintiffs and Defendants to determine how the parties treated the loss, whether as one claim or multiple claims and the representations that were made by Defendants. The facts to resolve the equitable tolling agreement appear to substantively overlap other claims and issues, such as the third cause of action for insurance bad faith, the fourth, fifth and sixth causes of action for fraud, the seventh cause of action negligent failure to obtain policy benefits, and the issues of waiver and estoppel, which are all issues to be decided by the jury. Based upon the briefing, both parties agree that even if the Court decides the issue of equitable tolling in favor of Plaintiffs, other issues will need to be decided.

While Plaintiffs may be correct that a ruling in their favor on equitable estoppel may make settlement more likely, that factor is not one that the Court can weigh in determining bifurcation. Moreover, the Court cannot assume that Plaintiffs will prevail on this issue. Instead, the Court needs to decide if a bifurcated trial will promote economies, efficiencies and the ends of justice. While the policy of the State is to try equitable issues first, based upon the factual dispute of whether there was one claim or multiple claims that overlap with the issues that will have to be tried before the jury, the Court in exercising its discretion concludes that bifurcation is not appropriate here.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Defendants shall prepare a written order consistent with the Court’s ruling for the Court’s signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM

LINE 7

24-CIV-03224

ZOILA GARCIA, INDIVIDUALLY, AND ON BEHALF OF ALL OTHERS SIMILARLY SITUATED VS
BAY AREA HERBS & SPECIALTIES, LLC

ZOILA GARCIA, INDIVIDUALLY, AND ON BEHALF OF ALL OTHERS
SIMILARLY SITUATED
BAY AREA HERBS & SPECIALTIES, LLC

SEUNG YANG

JOHN F. HYLAND

UNOPPOSED MOTION FOR FINAL APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT

TENTATIVE RULING:

The motion for final approval is continued until November 17, 2026 at 2:00 p.m.